DSEH004 Performance Management and Employee Engagement

Week 10 | Lecture 3 | Unit IV

High-Performance Work Systems

Bundles, mechanisms, causality and whether employees share the gains

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Commit before theory

Firms with more high-performance HR practices are more profitable. What is the strongest challenge to concluding that the practices cause the profit?

A Profitable firms can afford more HR practices

B HR managers exaggerate in surveys

C The effect is too small to matter

D Profit is the wrong outcome

Pfeffer: seven practices of successful firms

1 Security and selection

Employment security; selective hiring

2 Teams and pay

Self-managed teams and decentralization; high pay contingent on performance

3 Training and equality

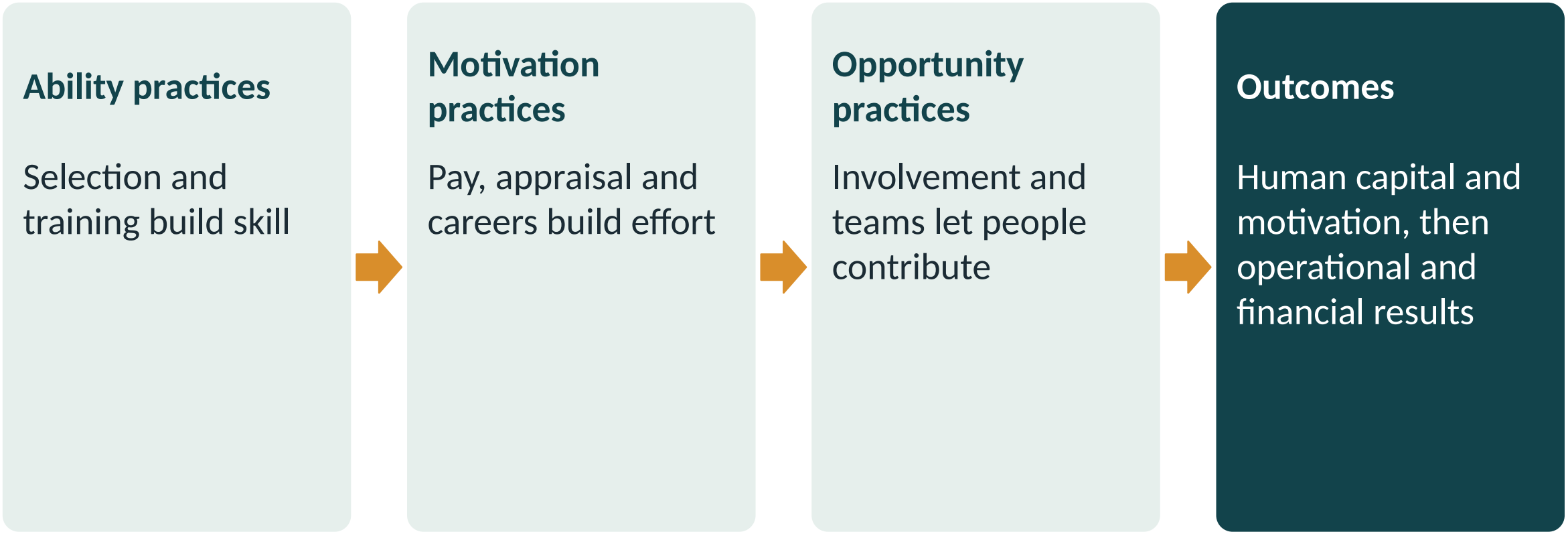
Extensive training; reduced status differences

4 Information

Sharing financial and performance information

Pfeffer (1998): practices work as a system; adopting one in isolation can fail

How HPWS works: the AMO mechanism



Jiang et al. (2012): the three practice bundles work through human capital and employee motivation

The evidence and its limits

Study	Finding	Caution
Huselid (1995)	HPWP linked to lower turnover, higher productivity and financial performance	Cross-sectional
Combs et al. (2006)	Meta-analysis: positive relationship between HPWP and organizational performance	Effect size modest
Wright et al. (2005)	HR practices correlated with past performance as strongly as with future	Raises reverse causality
Kehoe and Wright (2013)	Employee perceptions of HPHR practices relate to commitment and intent to remain	Perceptions matter, not just policy

Who gains? Mutual gains or conflicting outcomes

Mutual gains

- Happiness and relationship wellbeing tend to rise with performance
- Van De Voorde et al. (2012)

vs

Conflicting outcomes

- Health wellbeing can fall as intensification rises
- Guest (2017): put wellbeing at the center of HRM

An HPWS that raises output by raising strain may not be sustainable

Team-based performance management

1 Social loafing

Latane et al. (1979): individuals exert less effort when contributions are pooled

2 Make contributions visible

Identify individual inputs within team goals

3 Balance rewards

Combine team outcomes with individual development

Copying a high-performance system

Teaching case (Course framing)

A Ludhiana bicycle maker copies three practices from a Japanese partner: quality circles, a team bonus and suggestion schemes. It keeps its old selection methods, piece-rate pay for most workers and closed books. Within a year, suggestions dry up and the team bonus causes disputes.

Work it through

1. Why did the practices fail as a system?
2. Map the practices to AMO; which bundle is missing?
3. Would Pfeffer's information sharing help? Why?
4. How would you test whether a new system improved performance?

Exam-style question

Do high-performance work systems cause organizational performance? Evaluate the evidence and discuss the implications for employee wellbeing. (20 marks)

What a strong answer does

- Explains HPWS bundles and Pfeffer's practices
- Uses AMO and Jiang et al. for mechanisms
- Weighs Huselid, Combs et al. and Wright et al. on causality
- Discusses mutual gains versus conflicting outcomes

Sources (1 of 2)

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